

FreshBite Q2 2024 Board Summary

Prepared for: Board of Directors | Date: July 2024

Financial Highlights

Metric	Q2 Actual	Q2 Target	Variance
Total Revenue	\$12.8M	\$13.1M	-2.3%
Same-Store Growth	+4.2%	+5.0%	-0.8pp
Digital Mix	38.4%	42.0%	-3.6pp
Food Cost %	31.8%	32.0%	+0.2pp (favorable)
Labor Cost %	30.1%	29.5%	-0.6pp (unfavorable)
Avg Ticket	\$14.72	\$14.50	+1.5%
Customer Count	842K	870K	-3.2%

Regional Performance

Region	Revenue	YoY Growth	Digital %	Key Issue
Northeast	\$3.9M	+5.1%	39.3%	Strong; Times Square exceeding plan
Southeast	\$3.4M	+7.2%	37.8%	BurgerFlex pressure in Atlanta
Midwest	\$2.5M	+1.8%	30.6%	Detroit underperforming; digital lagging
West	\$3.0M	+6.5%	47.2%	Digital leader; Santa Monica top store

Strategic Priorities for H2 2024

- Digital Ordering Acceleration: Target 45% digital mix by Q4 (currently 38.4%). Invest in mobile app UX and loyalty integration.
- Southeast Defense: Open 2 new stores in Q3 to counter BurgerFlex. Increase local marketing spend 20%.
- Midwest Turnaround: Evaluate Detroit Center for potential closure or reformat. Pilot ghost kitchen in Chicago.
- Labor Optimization: Roll out AI-assisted scheduling to all stores. Target 29.0% labor cost by Q4.
- Texas Expansion: Finalize 3 lease agreements for Q1 2025 openings (Austin x2, San Antonio x1).

Key Risk: BurgerFlex has announced plans for 20 additional Southeast locations in H2. If their AI drive-thru pilot shows strong results, they may accelerate nationally.